

Table A: Personal allowances and deductions

Year of assessment	2017/18	2018/19
Personal allowances	HK\$	HK\$
Basic	132,000	132,000
Married person's	264,000	264,000
Single parent	132,000	132,000
Child		
1 st to 9 th child (each)	100,000	120,000
Additional allowance in the year of birth (each)	100,000	120,000
Dependent parent/ grandparent (aged 60 or above or is eligible to claim an allowance under the Government's Disability Allowance Scheme)		
Basic	46,000	50,000
Additional (for dependant residing with taxpayer continuously throughout the whole year)	46,000	50,000
Dependent parent/ grandparent (aged 55 – 59)		
Basic	23,000	25,000
Additional (for dependant residing with taxpayer continuously throughout the whole year)	23,000	25,000
Dependent brother/ sister	37,500	37,500
Personal disability	-	75,000
Disabled dependant	75,000	75,000
Deductions/ Concessionary deductions	HK\$	HK\$
Self-education expenses	100,000	100,000
Home loan interest	100,000	100,000
Elderly residential care expenses	92,000	100,000
Contributions to recognised retirement schemes	18,000	18,000
Approved charitable donations	35%	35%
Depreciation allowances (For all years of assessment in this paper)		
Plant and machinery: Initial allowance ("I.A.")		60%
Annual allowance ("A.A.")		Given in question
Industrial building: I.A.		20%
A.A.		4%
Commercial building: A.A.		4%

Table B: Tax rates

Year of assessment			
2017/18*		2018/19**	
Tax rates	%	Tax rates	%
Standard	15.0	Standard	15.0
Progressive		Progressive	
HK\$1 – HK\$45,000	2.0	HK\$1 – HK\$50,000	2.0
HK\$45,001 – HK\$90,000	7.0	HK\$50,001 – HK\$100,000	6.0
HK\$90,001 – HK\$135,000	12.0	HK\$100,001 – HK\$150,000	10.0
Above HK\$135,000	17.0	HK\$150,001 – HK\$200,000	14.0
		Above HK\$200,000	17.0
Corporation profits tax	16.5	Two-tiered profits tax rates	
		First HK\$2 million assessable profits	
		Unincorporated businesses	7.5
		Corporations	8.25
		Over HK\$2 million assessable profits	
		Unincorporated businesses	15.0
		Corporations	16.5

*75% of the final tax payable under profits tax, salaries tax and tax under personal assessment would be waived, subject to a ceiling of HK\$30,000 per case.

**100% of the final tax payable under profits tax, salaries tax and tax under personal assessment would be waived, subject to a ceiling of HK\$20,000 per case.

Table C: Stamp duty rates

Conveyance and Agreement for sale		
Ad Valorem Duty (marginal reliefs ignored)	Scale 1	Scale 2
Not exceeding HK\$2,000,000	1.5%	HK\$100
Not exceeding HK\$3,000,000	3%	1.5%
Not exceeding HK\$4,000,000	4.5%	2.25%
Not exceeding HK\$6,000,000	6%	3%
Not exceeding HK\$20,000,000	7.5%	3.75%
Exceeding HK\$20,000,000	8.5%	4.25%
	From 5 November 2016	
For residential property	15% (unless specifically exempted or provided otherwise)	
Special Stamp Duty		
Holding period		
Not exceeding 6 months		20%
More than 6 months but 12 months or less		15%
More than 12 months but 36 months or less		10%
Buyer's Stamp Duty		15%
Lease		
Rent only:		
Not exceeding 1 year		0.25%
Not exceeding 3 years		0.5%
Exceeding 3 years		1%
Premium and rent:		
Premium part		4.25%
Rent part	same as rent only lease	
Hong Kong Stock Transfer		
Contract notes		0.2%
Instrument of transfer		HK\$5

SECTION B – WRITTEN QUESTIONS (Total: 80 marks)

Answer **ALL** questions in this section. Marks are indicated at the end of each question. Together they are worth 80% of the total marks for this examination. **For computational questions, show all your workings.**

Question 1 (26 marks – approximately 48 minutes)

Paul and A Limited are partners of P&A Co ("the partnership"). The partnership carries on retail business in Hong Kong. Paul and A Limited share profits and losses in the ratio of 1:3. The partnership prepares its accounts to 31 December each year. Paul and A Limited do not carry on any other business nor derive any other income in Hong Kong. The partnership's profit and loss account for the year ended 31 December 2018 is as follows:

	HK\$	HK\$
Gross trading profit		7,375,000
Compensation (Note 1)		100,000
Bank interest received (Note 2)		130,000
		<u>7,605,000</u>
Less: Accountancy fee	120,000	
Salaries and allowances (Note 3)	3,650,000	
Contributions to MPF schemes (Note 4)	188,500	
Interest paid (Note 5)	800,000	
Bad debts (Note 6)	140,000	
Rent and rates (Note 7)	675,000	
Legal fee (Note 8)	18,000	
Entertainment (Note 9)	240,000	
Repairs and maintenance (Note 10)	540,000	
Motor vehicle expenses (Note 11)	133,000	
Depreciation	310,000	
Sundry expenses (All allowable)	<u>654,000</u>	<u>(7,468,500)</u>
Net profit		<u>136,500</u>

Notes:

(1)	Compensation received from customers for breach of trading contracts	170,000
	Compensation paid for cancellation of contract for purchasing office premises intended for business use	<u>(70,000)</u>
		<u>100,000</u>
(2)	Interest on the partnership fund's fixed deposit placed with Bank of East Asia (See also Note 5)	90,000
	Interest on Paul's private fund's fixed deposit placed with Hang Seng Bank	40,000
		<u>130,000</u>

(3)	Paul		240,000
	Susan (Paul's wife)		300,000
	Other employees		3,110,000
			<u>3,650,000</u>
(4)	Annual contributions in respect of:		
	Paul		18,000
	Susan		15,000
	Other employees (5% of remuneration)		155,500
			<u>188,500</u>
(5)	Interest on capital:		
	Paul	100,000	
	A Limited	<u>500,000</u>	600,000
	Interest on loan from Bank of East Asia		200,000
			<u>800,000</u>
	The loan from Bank of East Asia was secured by the partnership's fixed deposit placed with the bank as mentioned in Note 2.		
(6)	Trade debts written off		110,000
	Loan to staff written off		30,000
			<u>140,000</u>
(7)	Rent for business premises		300,000
	Rent for an employee's residence		360,000
	Rates for business premises		15,000
			<u>675,000</u>
	Susan is the landlord of the business premises. The market rent of the business premises was HK\$400,000. Susan reported the rent received in her tax return.		
(8)	Renewal of tenancy agreement of the business premises of Susan		5,000
	Collection of trade debts		7,000
	Collection of loan to staff		6,000
			<u>18,000</u>
(9)	It was agreed by the assessor that 1/3 of the expenses related to non-business use.		
(10)	Repairs of furniture and machinery		40,000
	Renovation expenditure of office premises		500,000
			<u>540,000</u>
(11)	Fine		11,000
	Gasoline		72,000
	Repairs		50,000
			<u>133,000</u>

Other information:

- (12) The assessor agreed that the partnership was entitled to total depreciation allowances for plant and machinery of HK\$292,000 for the year of assessment 2018/19.
- (13) Paul did not elect for personal assessment for the year of assessment 2018/19.

Required:

- (a) **Compute P&A Co's profits tax liability for the year of assessment 2018/19. Ignore provisional profits tax and tax reduction.**
(20 marks)
- (b) **Analyse the tax treatment in respect of the following items:**
- (i) **Compensation paid of HK\$70,000 for cancellation of contract for purchasing office premises (See Note 1 above).**
(2 marks)
- (ii) **Interest received of HK\$90,000 on the partnership fund's fixed deposit from Bank of East Asia (See Note 2 above).**
(4 marks)

Question 2 (18 marks – approximately 32 minutes)

Kelvin is a resident of Country A. He has been employed by K Limited in Country A for many years. It is accepted that his employment with K Limited is located outside Hong Kong. Under the terms of employment contract between Kelvin and K Limited, Kelvin was required to perform his duties in Hong Kong and other Asian countries. There is no tax treaty signed between Hong Kong and Country A. You have been supplied with the following information regarding Kelvin's employment for the year ended 31 March 2019:

- (1) Details of Kelvin's stays at the following places:

<u>Place</u>	<u>Days</u>
Hong Kong	207
Mainland China	75
Korea	63
Japan (on vacation)	<u>20</u>
	<u>365</u>

- (2) Salaries: HK\$1,440,000
- (3) During Kelvin's vacation to Japan, K Limited paid HK\$80,000 to a travel agency to arrange a holiday trip for him and his wife. The cost of the air-ticket was HK\$5,000 per person.
- (4) Kelvin rented a flat in Hong Kong for his residence at a monthly rent of HK\$40,000. K Limited refunded HK\$35,000 per month to him.
- (5) On 1 September 2018, Kelvin received a notice of salaries tax assessment from the Inland Revenue Department with salaries tax payable of HK\$105,000 and HK\$24,000 due on 3 January 2019 and 3 April 2019 respectively. K Limited paid the tax for Kelvin on the due dates.
- (6) On 15 October 2018, Kelvin exercised a share option. The share option was granted to him unconditionally on 1 August 2017 with an option cost of HK\$50,000, allowing him to purchase 500,000 shares of HK\$1 each in K Limited. During the year ended 31 March 2018, Kelvin visited Hong Kong for 146 days. The market values of each share in K Limited at the relevant dates were as follows:

1 August 2017	HK\$3.50
15 October 2018	HK\$4.00

During the year ended 31 March 2019, Kelvin paid the following expenses:

- (1) Cash donations to approved charitable institutions: HK\$250,000
- (2) Mandatory contribution to MPF scheme: HK\$18,000

Kelvin's wife is a housewife. They have a child aged 15 and is studying full-time in Country A.

Required:

- (a) For salaries tax purpose, compute Kelvin's total number of days attributable to Hong Kong services (including the leave days attributable to Hong Kong services) for the year of assessment 2018/19.
(3 marks)
- (b) Compute Kelvin's share option gain chargeable to salaries tax for the year of assessment 2018/19.
(4 marks)
- (c) Compute Kelvin's salaries tax liability for the year of assessment 2018/19. Ignore provisional salaries tax and tax reduction.
(11 marks)

Question 3 (9 marks – approximately 16 minutes)

Mr Lee has been carrying on his business in Hong Kong for many years. Recently, his business was under investigation by the Inland Revenue Department. During the initial interview held with the assessors, he was advised that in case there was tax undercharged recovered by the Inland Revenue Department, he would be penalised by means of additional tax under s.82A of the Inland Revenue Ordinance.

He approaches you for advice regarding the assessment to additional tax under s.82A of the Inland Revenue Ordinance.

Required:

- (a) Identify the officers of the Inland Revenue Department who can make an assessment to additional tax under s.82A of the Inland Revenue Ordinance.
(2 marks)
- (b) Describe the requirements of a valid appeal against an assessment to additional tax under s.82A of the Inland Revenue Ordinance.
(7 marks)

Question 4 (9 marks – approximately 16 minutes)

White Limited is a manufacturer of toys in Hong Kong. It prepares its accounts to 31 December each year. On 1 September 2015, it purchased a factory for HK\$8,000,000 from a developer who developed the building for sale. The total cost of the factory consisted of land cost of HK\$2,500,000 and cost of construction of HK\$2,500,000 respectively. After incurring decoration expenses of HK\$500,000, White Limited has used the factory for its manufacturing business since 15 September 2015.

On 1 December 2016, White Limited constructed a cockloft on the factory at a cost of HK\$1,000,000. On 1 June 2018, it sold the factory to Even Limited for HK\$9,500,000. It was agreed by the Inland Revenue Department that half of the selling price related to land cost.

Required:

Compute the respective amounts of industrial building allowance available/ balancing adjustment, if any, applicable to White Limited for the years of assessment 2015/16 to 2018/19.

(9 marks)

Question 5 (9 marks – approximately 16 minutes)

Mr Lo owns a residential flat in Wanchai. The property was let to Mr Fong under the following terms:

- (1) Lease period: 1 October 2016 – 30 September 2018 (24 months)
- (2) Monthly rent: HK\$15,000 payable at the beginning of each month
- (3) Premium: HK\$60,000 payable on 1 October 2016
- (4) Rates (after rates concession): HK\$800 per quarter payable by Mr Fong
- (5) Management fee: HK\$1,100 per month payable by Mr Lo

On 1 August 2018, Mr Fong told Mr Lo that he would move out from the property upon expiry of the lease and he failed to pay rent since then. On 1 December 2018, Mr Fong was declared bankrupt and it was accepted that the rent owed by Mr Fong was irrecoverable on this date.

The property was then let to Mr Zhen under the following terms:

- (1) Lease period: 1 January 2019 – 30 June 2022 (42 months)
- (2) Monthly rent: HK\$20,000 payable at the beginning of each month
- (3) Premium: HK\$72,000 payable on 1 January 2019
- (4) Rates and management fee: payable by Mr Lo

During the year ended 31 March 2019, Mr Lo paid the following expenses in relation to the property:

- (1) Rates: HK\$1,600 (2 quarters)
- (2) Management fee: HK\$13,200
- (3) Decoration: HK\$200,000
- (4) Mortgage loan interest: HK\$90,000

Required:

- (a) Describe an individual owner's obligations as provided under s.51D of the Inland Revenue Ordinance regarding the keeping of records of the rental income of a property in Hong Kong.
(3 marks)
- (b) Compute the net assessable value of Mr Lo's property for the year of assessment 2018/19.
(6 marks)

Question 6 (9 marks – approximately 16 minutes)

On 15 July 2018, Peter executed an agreement for sale and purchase to purchase a residential property ("the property") in Hong Kong for HK\$9,000,000 from Tony. Tony purchased the property in March 2013.

On 1 September 2018, Mary, Peter's girlfriend, was included in the conveyance on sale as the joint owner. On the date of assignment, the value of the property was HK\$9,500,000.

Peter is a Hong Kong permanent resident and Mary is not a Hong Kong permanent resident. Peter and Mary did not own any residential property in Hong Kong and they acted on their own behalf in the purchase of the property. Peter and Tony are not relatives.

Required:

Analyse, with reference to the relevant provisions under the Stamp Duty Ordinance, whether ad valorem duty, special stamp duty and buyer's stamp duty are payable on the agreement for sale and purchase and conveyance on sale respectively. If so, compute the respective amounts payable.

(9 marks)

* * * END OF EXAMINATION PAPER * * *